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Illustration 1

From the following information, prepare trading account for the year ended 31.12.2016.

Particulars	`
Opening stock (1.1.2016)	10,000
Purchases	26,100
Sales	40,600
Closing Stock (31.12.2016)	13,500

Solution

Dr. Trading account for the year ended 31st December, 2016 Cr.

Particulars	`	Particulars	`
To Opening stock	10,000	By Sales	40,600
To Purchases	26,100	By Closing stock	13,500
To Gross profit c/d	**18,000**		
	54,100		54,100



Student activity

Think: Do you think a business that provides service such as a travel agency, insurance and an auditing firm needs to prepare a trading account?

Illustration 2

From the following balances extracted from the books of M/s. Lavanya and sons, prepare trading account for the year ended 31st March, 2017:

Particulars	`	Particulars	`
Opening stock	16,500	Carriage inwards	1,200
Purchases	45,000	Wages	4,800
Sales	72,000	Fuel and power	3,200
Purchases returns	500	Closing stock	18,000
Sales returns	1,500		